RPS Research

March 2026

Price Target

$ 1.50

Surge Battery Metals Inc

NILI.V
Sector: Lithium

Surge Battery Metals is accelerating America's lithium independence with the highest-grade clay deposit in the US

Executive Summary

Surge Battery Metals represents a high-potential, early-stage exploration play on domestic US lithium supply chain security, with the Nevada North Lithium Project (NNLP) established as the highest-grade lithium clay resource in the United States. The September 2024 Mineral Resource Estimate outlines an inferred resource of 11.24 million tonnes LCE at 3,010 ppm Li, supported by a robust Preliminary Economic Assessment (PEA) showing **after-tax NPV of US $9.17 billion** (8% discount) and **22.8% IRR at base case $24,000/tonne LCE**. Recent drilling results (February 2026) confirm high-grade continuity and expansion potential, with intercepts up to 4,521 ppm Li, while the strategic joint venture with Evolution Mining provides non-dilutive funding up to **CAD $10M for the Pre-Feasibility Study (PFS)** led by Fluor Corporation, targeted for completion in Q4 2026. However, the company faces a 4-6 year timeline to production and requires substantial financing estimated at CAD $1.5-2 billion for full development. We assign a **SPECULATIVE BUY** rating with **CAD $1.50** price target based on 40% probability-adjusted NAV, reflecting elevated execution risks, significant dilution potential, and lithium pricing volatility amid forecasts of $18,000-25,000/tonne for lithium carbonate in 2026, with energy storage demand growth offsetting narrowing surpluses.

Key Highlights

Strong PEA Economics: After-tax NPV of US $9.17 billion (8% discount), IRR 22.8%, low operating costs of US $5,243/tonne LCE, 42-year mine life with annual production of ~35,000 tonnes LCE at $24,000/tonne LCE.

Top-Tier Grade Profile: Highest-grade lithium clay resource in the US at 3,010 ppm Li, with recent intercepts up to 4,521 ppm over 32m, enabling low-cost extraction via simple acid leaching.

Inferred Resource Status: 11.24 Mt LCE inferred resource, with February 2026 drilling confirming continuity, high-grade core, and expansion potential; geotechnical and hydrogeological data supports PFS de-risking.

Strategic JV Partnership: Evolution Mining funds CAD $10M toward PFS (Surge retains 74.15% ownership post-earn-in), adding district-scale land package and technical expertise; Fluor Corporation engaged as lead engineer for PFS.

Development Timeline: PFS completion Q4 2026, Definitive Feasibility Study (DFS) 2027, permitting 2028-2029, first production targeted 2030 contingent on financing and approvals.

Key Risks: Lithium price must sustain above breakeven ~$8,000/tonne; CAD $1.5B+ capex implies significant dilution; Nevada permitting timelines of 3-5 years; no binding offtakes yet.

Industry

The global lithium industry is undergoing rapid transformation, with demand projected to grow at 20-25% CAGR through 2030, driven by electric vehicles (EVs), energy storage systems (ESS), and renewable energy integration. China dominates refining (65%) and battery production (75%), exposing Western supply chains to geopolitical risks, including export controls and trade tensions. The US, with only one active lithium mine (Silver Peak), is prioritizing domestic production via the Inflation Reduction Act (IRA) and Defense Production Act, allocating billions for critical minerals. Emerging North American lithium projects focus on clay and brine deposits, with key players like Lithium Americas (Thacker Pass), American Lithium, and Century Lithium advancing toward production. Government incentives, faster permitting under IRA, and offtake agreements with OEMs are accelerating development, but oversupply from 2023-2025

About the Company

Surge Battery Metals Inc. (TSXV: NILI.V, OTCQX: NILIF, FSE: DJ5) is a Canadian junior mineral exploration company dedicated to advancing high-grade lithium deposits to support North America's energy transition. Incorporated in 1987 and rebranded in 2021, Surge focuses on its Nevada North Lithium Project in Elko County, Nevada, through its joint venture Nevada North Lithium LLC (NNL) with Evolution Mining, where Surge holds a 74.15% interest post-earn-in. The company's strategy emphasizes low-cost clay-hosted lithium with simple metallurgy, leveraging a proven management team that previously sold Millennial Lithium for CAD $490M. Surge represents an exploration-stage opportunity in critical minerals reshoring, with risks including multi-year development, financing needs, and price sensitivity ahead of targeted 2030 production.

Mineral Reserves and Resources		
	Unit/Notes	Value
Inferred Resources - Tonnage	Million Tonnes LCE	11.24
Inferred Resources - Average Grade	ppm Li	3,010
Ownership Stake (Surge)	%	74.15
Attributable Resources	Million Tonnes LCE	8.33
Stock and Financial Metrics (March 03, 2026)		
	Unit/Notes	Value
Current Price (Close)	CAD	0.7
52-Week Range	CAD	0.23 - 1.04
Volume	Shares	1,606,400 (recent high)
Average Volume	Shares (recent trailing average)	1,200,000
Market Cap	Million CAD	~140
Shares Outstanding	Million	~200

NILI vs Sprott Lithium Miners ETF

US Lithium Demand - Supply					
Year	Demand (kt LCE)	Production (kt LCE)	Gap (kt LCE)	US Recycling Est (kt)	Projected Avg Price (USD/ton)
2026	160-200	25-45	135-175	5-10	15,000-25,000
2027	200-250	45-70	155-205	10-15	18,000-28,000
2028	250-300	70-95	180-230	15-20	20,000-30,000
2029	300-350	85-105	195-265	20-25	22,000-32,000
2030	350-450	95-120	230-355	25-30	25,000-35,000

Investment Thesis

Superior Deposit Grade and Economics: NNLP's value is underpinned by its exceptional grade,3,010 ppm Li inferred resource, the highest for US clay deposits,enabling low-cost production via acid leaching with 80%+ recovery. The 2025 PEA outlines a 42-year mine life at 35,000 tpa LCE, with opex of $5,243/tonne, positioning it among the lowest-cost global producers. Recent 2025 drilling (e.g., 116m at 3,752 ppm Li) confirms high-grade continuity and expansion potential, with infill results de-risking early mine years. Metallurgical tests validate simple flowsheet, minimizing capex relative to peers.

Strategic US Location and Policy Alignment: Surge benefits from US critical minerals incentives, with NNLP qualifying for IRA tax credits and potential Defense Production Act funding. Nevada's mining-friendly jurisdiction offers infrastructure advantages (roads, power nearby), enabling domestic supply for Tesla, GM, and Ford. The JV with Evolution Mining adds non-dilutive capital and expertise, expanding the land package to district scale. Management reports ongoing offtake discussions, targeting premiums for "IRA-compliant" lithium amid ESS demand growth.

Accelerated Path to PFS with Partner Support: Surge has de-risked advancement via Evolution's CAD $10M PFS funding commitment, with Fluor leading engineering. 2025 drilling upgraded resources 113% and collected hydrology data. Indigenous and regulatory engagement is progressing, with Nevada permitting supported by federal fast-tracking. Timeline targets PFS Q4 2026, DFS 2027, and production 2030 if financed successfully.

Peer Analysis (Projects)

Project / Company	Jurisdiction	Status	Inferred Resources (Mt LCE @ ppm Li)	Annual LCE (tpa)	Initial Capex (US$ bn)	First Production Target
NNLP	**USA (NV)**	**PEA (2025) → PFS Q4-26**	**11.24 @ 3,010**	**35,000**	**1.5**	**2030**
Thacker Pass (Lithium Americas)	USA (NV)	Construction	~16 @ 2,500	40,000	2.3	2027
TLC (American Lithium)	USA (NV)	PEA	~5 @ 2,200	20,000	0.5	2028
Clayton Valley (Century)	USA (NV)	DFS	~4 @ 1,800	15,000	0.8	2027

Lithium Pricing

Lithium carbonate prices recovered modestly in 2025, rising 56% to ~US $16,900/tonne by year-end, supported by ESS demand growth amid narrowing surpluses. Forecasts for 2026 project prices in the $18,000-25,000/tonne range, with deficits emerging (e.g., 22,000-80,000 tonnes LCE) as ESS additions reach 359 GWh globally. Volatility persists due to Chinese supply expansions, but US premiums for IRA-compliant material could add 10-20%. NILI.V shows moderate correlation to lithium spot, responding more to project catalysts; stronger ties expected post-PFS.

Potential Catalysts

- PFS Completion (Q4 2026): Robust results could re-rate shares to $1.00-1.50.
- Binding Offtake: Agreement with Tesla/GM including prepays supports $1.50-2.00.
- Government Funding: IRA/Defense Act grants ($50-150M) reduce dilution.
- Lithium Price Rally: To $20,000+/tonne boosts economics.
- Resource Upgrade: Infill drilling expands to measured/indicated.

Valuation

Surge's NNLP is valued via a risk-adjusted NAV approach from the 2025 PEA. Base case after-tax NPV is US $9.17 billion (CAD $12.38B at 1.35 FX), using $24,000/tonne lithium carbonate. Adjusting conservatively for current market volatility to a $18,000/tonne assumption reduces NPV to approximately US $6.24 billion (margin ratio adjustment). Applying 40% success probability for heightened development risks yields risked NPV of CAD $3.37B. Adjusting for Surge's 74.15% stake and future dilution (450M shares post-DFS, reflecting significant equity needs), NAV per share is CAD $5.55. Markets discount pre-production explorers ~70% given early-stage uncertainties; our one-year target is CAD $1.50, offering upside from $0.70. Sensitivity: Prices below $12,000/tonne compress to CAD $0.80; rally to $25,000+ supports CAD $2.50+.

Risks

Commodity Price Volatility Risk (HIGH): Sustained drop below $12,000/tonne erodes economics; historical range $7,500-$70,000/tonne influenced by Chinese policy and EV adoption.

Execution Risk - Project Development (HIGH): PFS/DFS may reveal higher capex or lower recovery (20% probability); drilling issues or inflation could delay by 12-24 months.

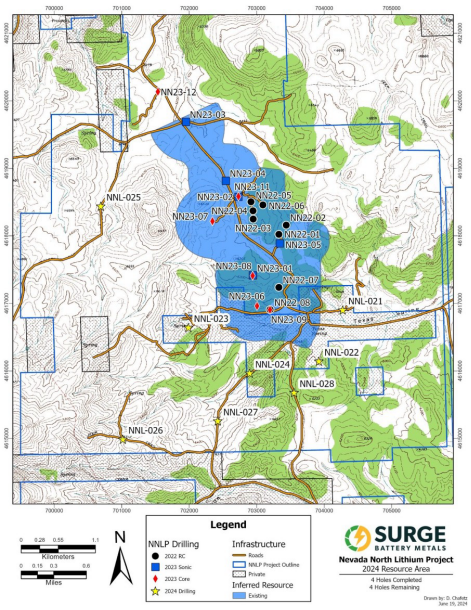
Financing Risk (VERY HIGH): CAD $1.5B+ needed; failure to secure debt/offtakes forces dilutive equity (3-5x shares).

Permitting & Regulatory Risk (HIGH): Nevada timelines 3-5 years; potential indigenous/NGO challenges on water/wildlife.

Shareholder Dilution Risk (VERY HIGH): CAD $300-500M equity pre-construction implies 100-200% dilution.

Offtake Execution Risk (MEDIUM-HIGH): No bindings yet; may require concessions to OEMs.

Geopolitical & Market Demand Risk (MEDIUM): Chinese dumping or slower ESS/EV growth reduces premiums; tech shifts (e.g., sodium-ion batteries) could impact.



Plan view showing the location of 2022 and 2023 drilling, plus the 2024 program